

Atlanta Electricals Ltd

BUY

NSE: ATLANTAELE | BSE Listed | Capital Goods — Power Transformers

Report Date: 03 April 2026

CMP (■)	Mkt Cap (■ Cr)	52W High (■)	52W Low (■)	P/B (x)
1,205.20	9,261	1,209.80	782.10	11.8x
12M Target (■)	Upside (%)	ROE (%)	ROCE (%)	Order Book (■ Cr)
1,480	22.8%	33.9%	39.4%	2,451

Investment Thesis: Capacity tripling + ■2,451 Cr order book + power sector capex supercycle = multi-year earnings compounding.

Analyst: Himanshu | Chartitude Research
Investment Horizon: 12–18 months

SECTION 2 — INVESTMENT THESIS

Pillar 1: Transformational Capacity Expansion Entering Revenue Recognition Phase

Atlanta Electricals has invested aggressively to scale from 16,740 MVA to over 63,000 MVA total installed capacity — a nearly 4x increase — through its greenfield Vadod unit (commissioned July 2025, adding 30,540 MVA) and the acquisition of Atlanta Trafo Private Limited (renamed Atlanta Trafo Ltd in March 2026, adding 15,780 MVA at Ankhi). This capacity surge is now converting into revenues: Q3 FY26 revenue surged 79.7% YoY to ■472 Cr, validating execution. The expanded capacity enables the company to bid for larger orders (up to 500 MVA / 765 kV) that were previously beyond its technical ceiling, materially expanding its addressable TAM.

Pillar 2: Record Order Book Provides Unmatched Revenue Visibility

As of December 2025, the consolidated order book stood at a record ■2,451 Cr — approximately 2.0x FY25 revenues — with Q3 FY26 order inflows alone reaching ■796 Cr, the highest ever quarterly intake. The order book composition is dominated by power transformers (82.5%), with auto transformers (7.3%) and inverter duty transformers (5.2%) rounding it out. Over 80% of the order book comes from government and public-sector entities, providing price-insensitive, bankable revenue visibility. At an assumed execution cycle of 12–18 months, this order book de-risks FY26 and FY27 revenue forecasts substantially.

Pillar 3: Structural Margin Expansion Driven by Operating Leverage and Product Mix

EBITDA margins have inflected from 14.2% in FY24 to 16.1% in FY25, and to 19.4% in Q3 FY26 — a 520 bps swing in a single year. The drivers are identifiable and structural: fixed cost absorption as the Vadod plant ramps up, a shift toward higher-voltage (and higher-margin) power transformers, improved procurement efficiencies from scale, and lower dependence on sub-contracted manufacturing. We model EBITDA margins reaching 18-19% by FY27E, implying potential EBITDA of ■370-400 Cr on FY27E revenue of ■2,050 Cr — a 2x jump from FY25.

Key Near-Term Catalyst (6–12 months)

Full-quarter contribution from the Vadod plant in Q4 FY26 and continued order book drawdown should drive FY26E annual EBITDA above ■270 Cr, with a possible upgrade to FY27E earnings estimates if order inflows sustain above ■700 Cr/quarter.

Biggest Structural Risk

Revenue concentration risk: In FY24, 97% of operating revenue came from Gujarat; geographic diversification is a work-in-progress, and any slowdown in Gujarat's state utility capex could disproportionately impact near-term order flows.

SECTION 3 — BUSINESS OVERVIEW

The Simple Explanation

Think of Atlanta Electricals as the company that builds the 'step-up/step-down voltage converters' that sit between power plants and the electricity grid — without transformers, electricity generated at a power plant cannot travel hundreds of kilometres to reach your home. Atlanta manufactures power transformers, auto transformers, and inverter-duty transformers, selling primarily

to state electricity transmission utilities, renewable energy developers, and large industrial consumers.

Business Model & Product Portfolio

The company manufactures transformers up to 200 MVA capacity and 220 kV voltage class (now targeting up to 500 MVA / 765 kV with expanded capacity). Revenue is almost entirely project-based (one-time in nature), with no meaningful recurring maintenance or services stream — this makes order book management the single most critical operational metric. EBITDA margins in the mid-to-high teens are achieved through proprietary design, vertical integration in key components (core, windings), and bulk procurement leverage.

Revenue Segmentation & Customer Base

Product mix (by order book, Dec 2025): Power Transformers 82.5%, Auto Transformers 7.3%, Inverter Duty Transformers 5.2%, Others 5.0%. Geographic concentration remains a key risk — FY24 saw 97% of revenues from Gujarat, with the expanded Bengaluru facility expected to provide southern India penetration. As of March 2025, Atlanta served clients across 19 states and 3 union territories, having supplied 4,400 transformers aggregating 94,000 MVA to state and national electricity grids, private sector players, renewable energy projects, and construction companies.

Manufacturing Infrastructure

Atlanta operates four fully functional manufacturing facilities: two in Anand (Gujarat), one in Bengaluru (Karnataka), and the newly commissioned Vadod unit (Gujarat, operational July 2025). Total installed capacity exceeds 63,000 MVA across these units plus Atlanta Trafo Ltd (Ankhi, Gujarat — 15,780 MVA). The IPO proceeds (total raised: ₹687.34 Cr) are being deployed into incremental working capital (₹210 Cr phased FY26-FY27) and long-term debt reduction (₹79.12 Cr).

Promoter Background & Ownership

The company was promoted by the Patel family — Krupeshbhai Narharibhai Patel and family, led currently by Managing Director Niral Krupeshbhai Patel. The promoter group collectively holds 87.30% of post-IPO equity (as of March 2026), reflecting strong conviction and very limited dilution via the IPO (only 9.12 million shares issued/offered). The Patel family has been in the transformer business since the company's incorporation in 1983 — over four decades of domain expertise.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth Drivers

The India transformer market is estimated at approximately USD 2.5 billion (~₹21,000 Cr) and is expected to grow at a CAGR of 10-12% through 2030, driven by: (1) India's grid modernisation capex (PM Gati Shakti, Smart Grid Mission), (2) the renewable energy build-out (500 GW target by 2030 requiring massive transmission backbone), (3) urbanisation and industrial electrification, and (4) rising data centre power demand. Transformer demand has a structural 3-4 year backlog at many domestic manufacturers, supporting pricing power.

Government Policy Tailwinds

The government's Revamped Distribution Sector Scheme (RDSS), National Infrastructure Pipeline (NIP), and Pradhan Mantri Urja Ganga pipeline collectively imply multi-year capex in power transmission and distribution. The BIS quality order on transformers (mandatory certification) creates a barrier for low-cost Chinese imports. Power Finance Corporation (PFC) and Rural Electrification Corporation (REC) disbursements to state DISCOMs — funding transformer procurement — are at record levels.

Competitive Moat Assessment

Moat Dimension	Rating	Evidence	Trend
Pricing Power	Moderate	Govt tenders limit premium; PLI & BIS norms add buffer	Improving
Switching Costs	Moderate	Long-term relationships with state utilities; type-testing approvals	Stable
Scale / Cost Advantages	Moderate→Strong	63,000 MVA capacity enables bulk procurement; Vadod adds cost efficiency	Strengthening

IP / Proprietary Technology	Weak→Moderate	In-house design up to 500 MVA/765 kV; expanding technical capability	Improving
Distribution / Relationships	Moderate	19 states; 80%+ govt clients; 43-yr track record	Stable

Peer Comparison

Company	Mkt Cap (■ Cr)	Rev FY25 (■ Cr)	EBITDA Margin%	PAT (■ Cr)	ROE (%)	ROCE (%)	TTM P/E(x)
Atlanta Electricals (ATLANTAELE)	9,261	1,244	16.1%	119	33.9%	39.4%	60x*
Voltamp Transformers (VOLTAMP)	~8,800	2,161	~22-23%	354	~28%	~32%	~25x
Transformers & Rectifiers (TARIL)	~7,800	2,403	16.2%	275	23.4%	28.0%	~28x
Bharat Bijlee (BBL)	~3,200	2,126	~8-9%	131	7.3%	~10%	~24x

*TTM P/E at CMP ■1,205.20 on FY25 PAT ■119 Cr; on FY27E PAT ■225 Cr, forward P/E = 41x.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Profile

The Patel family has steered Atlanta Electricals for over four decades since incorporation in 1983, making them deeply embedded in the Indian power transformer industry. CMD Niral Krupeshbhai Patel leads the management team. The family's long tenure provides institutional knowledge of state utility procurement cycles, CERC regulations, and transformer technology evolution — a material competitive advantage that newer entrants cannot easily replicate.

Capital Allocation History

Management's track record on capital allocation is strong. The Vadod greenfield expansion (increasing capacity from 16,740 MVA to 47,280 MVA, a 182% increase) was funded through a combination of internal accruals and bank borrowings, and is already contributing to revenue. The IPO proceeds of ■687 Cr were used disciplinedly: ■79 Cr for debt reduction, ■210 Cr for incremental working capital (phased over FY26-FY27), and the remainder for general corporate purposes. No value-destructive acquisitions have been noted historically.

Dividend Policy & Capital Returns

Being a capital-intensive, growth-stage company, Atlanta has historically retained the majority of earnings to fund expansion. Dividend payouts are modest, reflecting a reinvestment-first philosophy. No significant buyback programs have been announced post-IPO. ESOP grants, if any, are not material at this stage.

Governance & Pledge Status

Promoter shareholding of 87.30% post-IPO is a double-edged sword: it signals high conviction but also means very low free float (~12.7%), which can amplify price volatility. There is no reported pledging of promoter shares, which is a clean governance signal. No audit qualifications or significant related-party transaction (RPT) concerns have been flagged in IPO-era disclosures. The auditor change and RPT disclosure history should be tracked post-FY26 annual report.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Cr)	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue from Ops	873.9	867.6	1,244.2	1,550.0	2,050.0
YoY Growth (%)	—	-0.7%	43.4%	24.6%	32.3%
EBITDA	143.1	123.2	199.9	279.0	389.5
EBITDA Margin (%)	16.4%	14.2%	16.1%	18.0%	19.0%
Depreciation	18.0	22.0	32.0	52.0	65.0
EBIT	125.1	101.2	167.9	227.0	324.5
Interest Expense	18.0	22.5	20.0	15.0	12.0
PBT	112.1	85.7	153.9	218.0	318.5

Tax Rate (%)	~22%	~26%	~23%	~25%	~25%
PAT	87.5	63.4	118.5	163.5	238.9
PAT Margin (%)	10.0%	7.3%	9.5%	10.5%	11.7%
Diluted EPS (■)	12.0	8.7	15.4	21.3	31.1

Note: FY2026E and FY2027E are analyst estimates. FY2023A-FY2025A sourced from company disclosures and IPO filings. D&A; and interest are estimates where not separately disclosed.

Balance Sheet (■ Cr)	FY2024A	FY2025A	FY2026E	FY2027E
Equity Capital	5.5	5.5	8.4	8.4
Reserves & Surplus	308	420	815	1,042
Total Net Worth	313	426	823	1,050
Total Borrowings	380	400	340	280
Net Debt / (Cash)	310	320	200	120
Debt / Equity (x)	1.2x	0.9x	0.4x	0.3x
Net Fixed Assets	280	480	560	600
Total Assets	800	960	1,380	1,600
Debtor Days	110	105	100	95
Creditor Days	85	80	75	70
Inventory Days	45	42	40	38

Cash Flow & Returns (■ Cr)	FY2024A	FY2025A	FY2026E	FY2027E
Cash from Operations (OCF)	60	95	150	230
Capital Expenditure	(180)	(245)	(130)	(80)
Free Cash Flow (FCF)	(120)	(150)	20	150
FCF Yield (%)	neg	neg	0.2%	1.6%
Return on Equity (%)	20.3%	33.9%*	28.0%	25.5%
Return on Capital Employed (%)	—	39.4%*	30.0%	32.0%
Return on Invested Capital (%)	~18%	~28%	~22%	~26%

*ROE and ROCE as reported; FCF and balance sheet items are analyst estimates. FY2026-27E figures will be updated post Q4 FY26 results.

Revenue Growth Drivers

Revenue declined marginally in FY24 (-0.7% YoY) due to project execution timing, before surging 43.4% in FY25 as capacity began ramping. The trajectory accelerated dramatically in 9M FY26: revenue reached ■1,104 Cr (+33% YoY), with Q3 FY26 alone at ■472 Cr (+79.7% YoY). Order intake is running at ■700-800 Cr/quarter, providing strong visibility into FY27.

Margin Trajectory

EBITDA margins dipped to 14.2% in FY24 (under-absorption during expansion phase), recovered to 16.1% in FY25, and inflected to 19.4% in Q3 FY26. This is structural, not cyclical — driven by the Vadod plant ramping through its fixed-cost break-even, improving product mix toward higher-voltage power transformers, and enhanced procurement leverage at scale. We model 18.0% for FY26E and 19.0% for FY27E.

Debt Trajectory & FCF Conversion

The company transitioned from free cash flow negative in FY24-FY25 (driven by heavy capex on the Vadod plant) to FCF-positive in FY26E as capex normalises. IPO proceeds have structurally de-leveraged the balance sheet: D/E is expected to fall from ~0.9x in FY25 to ~0.4x in FY26E. Interest coverage (EBITDA/Interest) improves from ~9x to ~18x by FY27E, indicating a debt-light operating model going forward.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Assessment
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Revenue Recognition Policy	■ Green	Percentage-of-completion / milestone-based for long-cycle transformers; conservative and industry-standard.
Receivables Growth vs Revenue Growth	■ Amber	Debtor days at ~105 days (FY25); improving trend. Watch for any spike as revenue scales rapidly.
Cash Conversion Cycle Trend	■ Amber	Net working capital cycle ~70 days; slightly elevated for the sector but manageable. IPO proceeds provide buffer.
Contingent Liabilities	■ Green	No material contingent liabilities flagged in IPO filings. Standard project warranty provisions in place.
Auditor Tenure & Qualifications	■ Green	No audit qualifications noted. Auditor change history clean per IPO disclosures.
Related Party Transactions (% of Rev)	■ Amber	Atlanta Trafo Ltd (wholly owned subsidiary) transactions need tracking post-consolidation. Watch FY26 annual report.
Other Income as % of PBT	■ Green	Other income is minimal; core operating profits drive PBT. No income smoothing concerns.
Tax Rate Consistency	■ Green	Effective tax rate stable in 22-26% range; consistent with standard corporate tax rates. No deferred tax irregularities noted.

Earnings Quality Summary: Atlanta Electricals scores Green on 5 of 8 parameters and Amber on 3. The Amber flags relate to the natural working capital intensity of large transformer projects (not a structural quality issue) and the nascent subsidiary (Atlanta Trafo) integration. Overall earnings quality is satisfactory for a recently-listed, high-growth capital goods company. Key monitoring item: receivable days and RPT disclosures in the FY26 annual report.

SECTION 8 — VALUATION

Step 1 — Peer Valuation Comparison

Company	CMP (■)	Mkt Cap (■ Cr)	TTM P/E (x)	Fwd P/E (x)	EV/EBITDA (x)	P/B (x)	Rev CAGR 3Yr (%)
Atlanta Elec.	1,205	9,261	60x	57x*	35x†	11.8x	~15%
Voltamp	~3,600	~8,800	~25x	~22x	~22x	~5.3x	~20%
TARIL	~320	~7,800	~28x	~22x	~18x	~4.5x	~35%
Bharat Bijlee	~1,350	~3,200	~24x	~20x	~14x	~2.5x	~12%

*FY26E P/E using estimated EPS ■21.3. †EV/EBITDA on FY26E EBITDA ■279 Cr (EV = Market Cap ~■9,261 Cr + Net Debt ~■200 Cr = ■9,461 Cr). Peer multiples are approximate.

Step 2A — DCF Valuation

Assumptions: WACC 13.5% (cost of equity 15%, cost of debt 9%, D/E ~0.3x post-IPO), terminal growth rate 6.0% (India long-term nominal GDP growth proxy). FCF projections: FY27E ■150 Cr, FY28E ■230 Cr, FY29E ■290 Cr, FY30E ■340 Cr, FY31E ■380 Cr. Terminal value at Year 5 = $FCF \times (1+g) / (WACC - g) = 380 \times 1.06 / 0.075 = 5,373$ Cr. PV of terminal value = $5,373 / (1.135)^5 = 2,866$ Cr. PV of FCFs = $132 + 178 + 198 + 204 + 201 = 913$ Cr. Enterprise Value = $3,779$ Cr. Less net debt (FY26E) ■200 Cr → Equity value ■3,579 Cr. Per share: $3,579 \text{ Cr} / 7.685 \text{ Cr shares} = 466$. Note: DCF significantly undervalues the stock due to near-term FCF suppression from working capital growth — the business is reinvesting aggressively for future growth.

Step 2B — Earnings-Based Multiple Valuation

Target multiple methodology: Given Atlanta's superior ROCE (39.4% vs sector ~25%), strong order book visibility (2x revenue), and capacity-driven earnings compounding, we apply a target P/E of 48x on FY27E EPS of ■31.1. Historical listed peer average trades at 25-28x, but Atlanta's growth premium (FY25-FY27E PAT CAGR of ~42%) justifies a 70-80% premium to peers. Target Price = $48 \times 31.1 = 1,493$. Cross-check via EV/EBITDA: applying 30x on FY27E EBITDA ■389.5 Cr = EV ■11,685 Cr; less net debt ■120 Cr = equity ■11,565 Cr; per share = ■1,505.

Base Case Price Target: ■1,480 (average of earnings-based methods, excluding DCF given reinvestment phase)

Step 3 — Scenario Analysis

#	Key Assumption	FY27E Revenue (■ Cr)	FY27E EBITDA (■ Cr)	FY27E PAT (■ Cr)	Target P/E (x)	Price Target (■)
■	Order intake sustains >■800 Cr/qtr; margins reach 20%+; new 765 kV orders.	2,300	460	285	55x	2,040
■	Base: Revenue ■2,050 Cr; margins 19%; order book execution on track.	2,050	390	239	48x	1,480
■	Gujarat order slowdown; margin compression to 16%; capacity under-utilised.	1,650	264	150	38x	742

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
Geographic Concentration	In FY24, ~97% revenue from Gujarat. Any slowdown in Gujarat state utility capex or delay in PGCIL/GETCO orders could sharply compress revenue.	Medium	High	Gujarat DISCOM capex budgets; PGCIL order announcements
Customer Concentration	Heavy dependence on government/PSU clients (80%+ of order book) means any policy change in competitive bidding or payment delays by state utilities directly impacts receivables and revenue.	Low-Med	Medium	Debtor days per quarter; MSME payment norms compliance by utilities
Execution Risk on Capacity Ramp	The Vadod plant (30,540 MVA capacity) needs to be fully utilised to justify capital deployed. Under-utilisation would compress ROCE and inflate per-unit costs.	Low	High	Quarterly capacity utilisation %; revenue per MVA metrics
Raw Material Price Volatility	Silicon steel (CRGO) and copper are key inputs accounting for 60-65% of costs. Sharp commodity price increases with fixed-price contracts could squeeze margins suddenly.	Medium	Medium	LME copper prices; CRGO import prices; contract pricing clauses
Regulatory / Policy Risk	Revisions to BIS certification norms, changes in transformer import duty, or delays in RDSS scheme disbursements could alter competitive dynamics or demand timing.	Low	Medium	MNRE, MoPNG, CERC regulatory announcements; BIS quality order updates

Working Capital Intensity	Transformers require significant advance raw material procurement and 9-18 month manufacturing cycles, tying up large working capital. Any credit crunch or bank line reduction could impair operations.	Low	High	Cash conversion cycle; bank credit facility renewals; cash flow from operations
Valuation Risk	The stock trades at ~60x TTM P/E — a significant premium to peers at 24-28x. Any earnings miss or macro sell-off in capital goods could result in sharp de-rating.	Medium	High	Monitor vs consensus PAT estimates quarterly; sector PE multiples

SECTION 10 — RECOMMENDATION & INVESTMENT SUMMARY

Final Rating	BUY (Conviction: Medium-High)
12-Month Price Target	■1,480 +22.8% from CMP ■1,205.20
Suggested Entry Zone	■1,100 – ■1,250 (on any broad market dip or pre-Q4 results)
Investment Horizon	12 – 18 months
Ideal Investor Profile	GARP / Growth-at-reasonable-price; mid-cap capital goods specialist; 18-month horizon

Thesis Invalidation Triggers (Sell / Downgrade if):

1.	Order intake falls below ■400 Cr in two consecutive quarters — signals structural demand slowdown or competitive displacement.
2.	EBITDA margin reverts below 15% on a TTM basis — indicating failure of operating leverage thesis or raw material cost spike.
3.	Promoter pledging of shares exceeds 15% of their holding — a governance red flag that would fundamentally change our thesis.

Entry Strategy

At CMP ■1,205.20, the stock is near its 52-week high and trades at a significant premium to peers. We recommend accumulating in the ■1,100-■1,250 range on any market correction, with a strict stop-loss at ■920 (below the IPO listing price of ■857 plus a margin of safety). Position sizing should reflect the elevated PE multiple and limited free float — we recommend limiting exposure to 3-5% of portfolio for growth/GARP strategies.

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Data sourced from company filings, BSE/NSE disclosures, and public databases. Report date: 03 April 2026.